

liquidity safety and attractive returns, it is a favourable instrument for investors.

iii) Other sub-markets

- a) **Certificate of deposits (CDs):** Banks can raise short-term cash by issuing certificates of deposit. It pays the holder higher interest rates the longer the cash is held. The CD is a document to the title of time deposit but is distinguished from conventional time deposit in respect of its free negotiability. The CD was introduced in the Indian money market in March 1989. The guidelines for their issue have changed over the years in consonance with the development of the money market.

Its term generally ranges from three months to five years and restricts the holders to withdraw funds on demand. However, on payment of certain penalty the money can be withdrawn on demand.

They are freely transferable by endorsement and delivery but only after 45 days of the date of issue. CDs are issued at a discount calculated front end or rear end. The discount rate is market-determined. Initially, only Commercial banks were authorized to issue CDs. In 2021, RBI decided to permit RRBs to issue CDs. It is an *important source for mobilizing bulk funds by banks* at low operational costs. The returns on Certificate of Deposits are higher than T-Bills because it assumes higher level of risk. While buying Certificate of Deposit, return method should be seen. Returns can be based on Annual Percentage Yield (APY) or Annual Percentage Rate (APR). In APY, interest earned is based on compounded interest calculation. However, in APR method, simple interest calculation is done to generate the return. Accordingly, if the interest is paid annually, equal return is generated by both APY and APR methods. However, if interest is paid more than once in a year, it is beneficial to opt APY over APR.

- b) **Commercial papers (CPs):** Large companies with impeccable credit can simply issue short-term unsecured promissory notes to raise cash. CP is a usance promissory note issued by a corporate entity at a discount with a fixed maturity evidencing the short-term obligation of the issuer. CP was introduced in the Indian money market in 1989. The issue of CP seeks to bypass the intermediation process of the banks. It is a low-cost alternative to bank loans. It is a short term unsecured promissory note issued by corporates and financial institutions at a discounted value on face value. They are usually issued with fixed maturity between one to 270 days and for financing of accounts receivables, inventories and meeting short term liabilities. Say, for example, a company has receivables of Rs. 1 crore with credit period of 6 months. It will not be able to

liquidate its receivables before 6 months. The company is in need of funds. It can issue commercial papers in form of unsecured promissory notes at discount of 10% on face value of Rs. 1 crore maturing after 6 months. The company has strong credit rating and easily finds buyers. The company is able to liquidate its receivables immediately and the buyer is able to earn interest of Rs. 5 lakhs over a period of 6 months. They yield higher returns as compared to T-Bills as they are less secure in comparison to these bills. Chances of default are almost negligible but are not zero risk instruments. Commercial Paper being an instrument not backed by any collateral, only firms with high quality credit ratings will find buyers easily without offering any substantial discounts. They are issued by corporates to impart flexibility in raising working capital resources at market determined rates. Commercial Papers are actively traded in the secondary market since they are issued in the form of promissory notes and are freely transferable in demat form.

- c) **Banker acceptance** is also a money market instrument to meet short-term liquidity requirements. The company provides a bank guarantee to the seller to pay the amount of goods purchased at the agreed future date. In case the buyer fails to pay on the agreed date, the seller can invoke a bank guarantee. It is usually used to finance exports and imports.
- d) **Repurchase options (Repo) or ready forward (RF):** Repo transactions have gained tremendous importance due to their short tenure and flexibility to suit both lender and borrower. Under this transaction, the borrower places with the lender certain acceptable security against funds received and agrees to reverse this transaction on a predetermined future date at the agreed interest cost. *No fixed period has been prescribed for this transaction however; generally, repo transactions are for a minimum period of 14 days and a maximum period of 1 year. The interest is market-determined and built into the structure of the Repo transaction.* Repo transactions can be undertaken by commercial banks, financial institutions, brokers DFHI. Repo transactions are structured to suit the requirements of both borrower and lender and have, therefore, become an extremely popular mode of raising/investing short-term funds. The borrower has the advantage of raising funds against its securities without altering its asset mix while the lender finds a safe avenue giving an attractive return. Moreover, the fund's management for both borrower and lender is improved as the date of reversal of the transaction is known in advance.

These instruments together have made the Indian money market a vibrant one.

10.5.3 The Unorganized Money Market

The **unorganized market** is comprised of indigenous financial institutions like indigenous bankers, lenders, *nidhis* and *chit funds*. They lend money to the public and also collect deposits from the public. There are also private finance companies, chit funds etc., whose activities are not controlled by the RBI. In 1991, the RBI has taken steps to bring private finance companies and chit funds under its strict control by issuing non-banking financial companies (Reserve Bank Directions, 1998). However, the regulations concerning their financial dealings are still inadequate and their financial instruments have not been standardised. The following are some of the constituents of the unorganised money market in India.

- i) **Indigenous Bankers:** Indigenous bankers include those individuals and private firms which are engaged in receiving deposits and giving loans thereby acting like a mini bank. Their activities are not at all regulated. With the growth of commercial banks and cooperative banks, the area of operations of indigenous bankers has contracted. These days a few thousand indigenous bankers are operating in the western and southern parts of the country and engaging themselves in the traditional banking business. Indigenous bankers are classified into four main subgroups, i.e., *Gujarati Shroffs*, *Multani-or Shikarpuri Shroffs*, *Chettiars* and *Marwari*, and *Kayast*. *Gujarati Shroffs* are mostly operating in Mumbai, Kolkata and industrial and trading cities of Gujarat. The *Multani or Shikarpuri Shroffs* are operating mainly in Mumbai and Chennai. The *Chettiars* are mostly found in the South. The *Marwari Shroffs* are mostly active in Mumbai, Kolkata, the tea gardens of Assam and also in different other parts of North-East India. Among the four aforementioned groups, the Gujarati indigenous bankers are considered the most powerful groups in respect of their volume of business.

The indigenous bankers are mostly engaged in both banking and non-banking business which they do not want to separate. Their lending operations remain mostly unregulated and unsupervised. They charge a high rate of interest and they are not influenced by the bank rate policy of the RBI.

- ii) **Unregulated Non-Bank Financial Intermediaries:** There are different types of unregulated non-bank financial intermediaries in India. They are mostly constituted by loan or finance companies, *chit funds* and '*nidhis*'. A good number of finance companies in India are engaged in collecting substantial amounts of funds in the form of deposits, borrowings and other receipts. They normally give loans to wholesale traders, retailers, artisans, and different self-employed persons at a high rate of interest ranging between 36 to 48 per cent.

There are various types of chit funds in India. They are doing business in almost all the states but the major portion of their business is concentrated in Tamil Nadu and Kerala. Moreover, there are '*nidhis*'

operating in South India which are a kind of mutual benefit fund restricted to its members.

- iii) **Moneylenders:** Moneylenders are advancing loans to small borrowers like marginal and small farmers, agricultural labourers, artisans, factory and mine workers, low-paid staff, small traders etc. at very high rates of interest and also adopt various malpractices for manipulating loan records of these poor borrowers. There are broadly three types of moneylenders:
 - i) Professional moneylenders dealing solely with money lending;
 - ii) Itinerant moneylenders such as *Kabulis and Pathans*, and
 - iii) Non-professional moneylenders.

The area of operation of the moneylenders is very much localised and their methods of operation are also not uniform. The money lending operation of the moneylenders is unregulated and unsupervised which leads to the worst exploitation of the small borrowers. Moneylenders have become a necessary evil in the absence of sufficient institutional sources of credit for the poorer sections of society. Although various measures have been introduced to control the activities of moneylenders due to a lack of political will, these are not enforced, leading to the exploitation of small borrowers.

Check Your Progress 2

- 1) List the main constituents of the Indian Money Market.
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- 2) Distinguish between Certificate of deposits (CDs) and commercial papers (CPs).
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- 3) Distinguish between Indigenous Bankers and Moneylenders.
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- 4) Explain the importance of treasury bills.
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10.6 REGULATORY MEASURES TO STREAMLINE THE WORKING OF THE MONEY MARKET

In India, money markets are regulated by both RBI and SEBI. The Indian money market has undergone metamorphosis during the last two decades owing to a series of measures which increased the number of participants, introduced newer instruments and deregulated the interest rates. RBI undertook several policy measures for setting up *institutions* to accelerate the growth and development of the Indian money market. The growth of the Indian money market is gaining momentum and is getting interrelated with other markets.

Three important committees were set up. While the *Chakravarty Committee* (1985) recommended measures for improvement in the monetary system, the *Vaghul Working Group* (1986) recommended measures to activate and vitalize the money market and the *Narasimham Committee* (1991) recommended measures to streamline the functioning of the financial system. Notwithstanding the above, it was only after the initiation of the reform measures that the money market gained vibrancy, although not to a very high degree. However, a significant aspect of the reform measures has been that the financial system as a whole, has become more inter-related and today the impact of the volatility in one market is felt in the other market. Keeping in mind the need for a developed money market for a fast-growing economy like India, RBI undertook several policy measures for setting up *institutions* to help hasten the growth and development of the Indian money market. Accordingly:

- i) *The Discount and Finance House of India (DFHI)* was established in 1988 to broaden and deepen the money market operations. It acts as a market maker;
- ii) *The Securities and Exchange Board of India (SEBI)* was set up in 1992 to function as the apex regulatory body relating to all aspects of security market activities;
- iii) *Credit Rating agencies such as CRISIL* (1987), *ICRA* (1991), etc. were promoted to make possible easy raising of funds from the money market.

Considering the need for making available an adequate number of and different variety of financial instruments as a precursor for a developed money market, several instruments were introduced in the Indian money market. *Several innovative submarkets such as certificates of deposit, call money market, collateral loan market, commercial paper market; MFS, etc. come to be introduced to strengthen the money market.* A striking feature of the money market instruments is that the *interest rate structure applicable to them has been deregulated* with effect from May 1, 1989. Accordingly, the rates of interest will be market-determined. The various money market instruments that are mentioned above have some of the following

characteristics: *short maturity, high liquidity, high safety, and high volume*. An essential feature of these instruments is that they are being dealt with by established agencies such as RBI, DFHI and Securities Trading Corporation of India (STCI) at the apex level and by commercial banks, public financial institutions and selected corporate entities at the operating level. Whereas commercial banks can indulge in both buying and selling of these instruments without any restriction, only lending facilities with the fulfilment of certain conditions are available for selected public financial institutions and corporate entities.

Credit control measures such as CRR and SLR are efficiently manipulated to tone up and buoy the money market operations, especially in the commercial banking sector. The reintroduction of *repos (ready forward)* in November 1996, was aimed at mopping up excess liquidity thus reducing volatility in call money markets and on foreign exchange markets. Beginning October 21, 1997, the repo facility was further extended to corporate debt and PSU bonds. Under this arrangement, RBI made *reverse repo facility* available to primary dealers in the government securities market, at the bank rate, on a discretionary basis and subject to certain regulations from time to time.

The Indian money market also has attained greater *vibrancy over* the years. Since the initiation of the liberalisation measures in mid-1991, there has emerged a *stronger relationship between the money markets and the other markets* viz., the foreign exchange market, capital market and the central government securities market, in the financial system. For all this to happen, the necessary policy changes carried out through the credit policies of the RBI have played a very significant role.

Money market rates play a main role in controlling the inflation. Higher rates in the money markets decrease the liquidity in the economy and have the effect of reducing the economic activity in the system. Reduced rates on the other hand increase the liquidity in the market and bring down the cost of capital considerably, thereby raising the investment. This function also assists the RBI in controlling the general money supply in the economy. To further strengthen the regulatory architecture while promoting greater efficiency in the financial markets, the Reserve Bank initiated policy measures to address certain regulatory gaps, promote transparency and improve liquidity in the money markets.

10.7 LIMITATIONS OF INDIAN MONEY MARKET

In terms of both organisation and development, the Indian money market is not comparable to any of the developed money markets of the world. It also cannot match the extent of resources, stability and elasticity of these developed money markets. But among the third-world countries, India has been maintaining the most developed banking system. Even then the organisation of the money market suffers from several drawbacks.

There is no adequate and continuous supply of short-term assets such as treasury bills, bills of exchange, short-term Government bonds etc. Accordingly, there are no dealers of short-term assets who act as intermediaries between the Government and the entire banking system. Despite the serious efforts made by the Reserve Bank of India, the bill market in India has not yet been fully developed. The market suffers from a lack of coordination between its different constituents and fails to attract foreign funds. Because of the existing dichotomy between organised and unorganised sectors, it is difficult for the RBI to ensure uniform and effective implementations of monetary policy in both sectors. Wasteful competition exists not only between the organised and unorganised sectors but also among the members of the two sectors. As compared to the size and population of the country, the banking institutions are not enough. Inadequate banking facilities in vast rural areas still exist. Disparities in the interest rates adversely affect the smooth and effective functioning of the money market. In recent years, serious efforts have been made by the Government and the RBI to remove the shortcomings of the Indian money market. Moreover, with the setting up of DFHI and MMMFs, the lot of Indian money market has achieved considerable progress in recent times and is also expected to achieve further progress in the years to come.

Check Your Progress 3

- 1) For what purposes three committees were set up?

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- 2) What reforms were introduced by RBI to strengthen the money market in India?

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- 3) Highlight the limitations of the Indian Money Market.

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10.8 LET US SUM UP

The money market is an organized exchange market where participants can lend and borrow short-term, high-quality debt securities with average maturities of one year or less. The market enables governments, banks, and other large institutions to sell short-term securities to fund their short-

term cash flow needs. It also allows individual investors to invest small amounts of money in a low-risk market. The short period of maturity is the hallmark of the money market instruments, while the markets that cater to the need for long-term funds are called Capital Markets. The nature of the money market depends to a large extent on the kind of economy it is expected to serve.

The money market instruments are money at call and short notice (Call Loans). Treasury Bills (TBs), Bills Rediscounting Scheme (BRS), Certificates of Deposit (CDs), Commercial papers (CPs), Repurchase Options or Ready Forward (REPOs), Options, Financial Futures, Forward Rate Agreements, Swaps, etc.

The instruments of the money market are characterized by short duration, large volume and deregulated interest rates. The instruments are highly liquid. They also are safe investments owing to the issuer's inherent financial strength.

New instruments have evolved and more institutions have been allowed to participate and market makers have been created to impart depth to the market. The money market in India consists of formal or organized money markets and informal or unorganized money markets.

In a money market, the central bank of the country plays a pivotal role and occupies a strategic position. The central bank is the key constituent of the money market, being the residual source of supply of funds and this attaches great significance to its operations.

The objective of monetary management by the central bank is to align money market rates with the key policy rate. As excessive money market volatility could deliver confusing signals about the stance of monetary policy, it is critical to ensure orderly market behaviour, from the point of view of both monetary and financial stability. Thus, the efficient functioning of the money market is important for the effectiveness of monetary policy.

10.9 KEY WORDS

Bill of Exchange : A negotiable instrument with three parties to the agreement: the drawer of the order, the drawee, who is ordered to make payment, and the payee. For instance, a commercial bank cheque is a draft on the bank by the depositor payable to a designated payee.

Credit Controls : Regulatory restrictions on bank lending.

Financial Integration : How financial markets are tied together geographically — domestically and internationally.

Market Maker	:	Refers to the dealers who buy or sell securities from their inventories, thereby ensuring that there is always a market in which investors can buy or sell their securities.
Monetary Policy	:	The management of the money supply and its links to prices, interest rates and other economic variables.
Open Market Operations	:	The purchase and sale of securities in financial markets by the central bank.
Regional Rural Banks (RRBs)	:	RRBs were established in 1975 under the provisions of the Regional Rural Banks Act. 1976 to develop the rural economy.
Statutory Liquidity Ratio (SLR)	:	Refers to that portion of total deposits of a commercial bank which it has to keep in the form of government or government approved securities.
Underwriters	:	Underwriters are those intermediaries who take upon themselves the responsibility to subscribe to that portion of the securities issued by a company which remain un-subscribed by the investing public.

10.10 SOME USEFUL BOOKS

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- Gupta, Suraj B. (2010): Monetary Economics; Institutions, Theory and Policy, S. Chand and Company, New Delhi (Chapters – 4, 18 & 19).
- Khan, M Y (2017): '*Indian Financial System*', 10th edition, Chapter 9, Tata McGraw-Hill Education Pvt. Ltd., New Delhi
- Mohanty, Deepak (2013): Money Market and Monetary Operations in India, *RBI Bulletin*, January
- Report of the Committee on Banking Sector Reforms (Chairman: M . Narsimham)1998
- Report of the Working Group on Money Market (Chairman: N. Vaghul), 1987
- Reserve Bank of India (2011): Reserve Bank of India: Functions and Working, RBI, Mumbai (Various issues)
- Reserve Bank of India: Report on Currency and Finance. Annual Report (Various issues)

10.11 ANSWERS / HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Section of the financial market where financial instruments with high liquidity and short-term maturities that usually range from overnight to just under a year such as treasury bills and commercial papers. It is considered a safe place to invest due to the high liquidity of securities.
- 2) Consists of negotiable instruments, provides an avenue for equilibrating the short-term surplus funds of lenders and the requirements of borrowers, collection of markets, such as, call money, notice money, repose, term money, treasury bills, commercial bills, certificate of deposits, commercial papers, inter-bank participation certificates, inter-corporate deposits, swaps futures, options, etc. volume of funds or financial assets traded in the money market is very large.
- 3) Highly organised commercial banking and financial systems, Promote financial mobility, Continuous supply of negotiable securities, Existence of several sub-markets, integrated with the rest of the markets in the financial system.

Check Your Progress 2

- 1) Organized money market, unorganised money markets.
- 2) The CD is a document to the title of time deposit but is distinguished from conventional time deposit in respect of its free negotiability. Banks can raise short-term cash by issuing certificates of deposit. CP is a usance promissory note issued by a corporate entity at a discount with a fixed maturity evidencing the short-term obligation of the issuer. *The issue of CP seeks to bypass the intermediation process of the banks.*
- 3) Indigenous bankers include those individuals and private firms which are engaged in receiving deposits and giving loans thereby acting like a mini bank. Moneylenders are advancing loans to small borrowers like marginal and small farmers, agricultural labourers, artisans, factory and mine workers, low-paid staff, small traders etc. at very high rates of interest.
- 4) *The Treasury bill* is a short-term government security having a maturity period ranging from a few days to a few months. There is no default risk associated with such instruments. They are *approved assets for Statutory Liquidity Ratio (SLR)*.

Check Your Progress 3

- 1) Three important committees were set up. While the *Chakravarty Committee* (1985) recommended measures for improvement in the monetary system, the *Vaghul Working Group* (1986) recommended

measures to activate and vitalize the money market and the *Narasimham Committee* (1991) recommended measures to streamline the functioning of the financial system.

- 2) The establishment of *the Discount and Finance House of India (DFHI)* (1988), *the Securities and Exchange Board of India (SEBI)* (1992), *Credit Rating agencies such as CRISIL* (1987), *ICRA* (1991).
- 3) Inadequate and discontinuous supply of short-term assets such as treasury bills, bills of exchange, short-term Government bonds etc., no dealers of short-term assets who act as intermediaries between the Government and the entire banking system, lack of coordination between its different constituents, failure to attract foreign funds.

10.12 TERMINAL QUESTIONS

- 1) Explain the constituents and salient features of the Indian money market.
- 2) Discuss various characteristics of a good money market. Can the Indian money market be termed a developed money market? Outline the measures to improve the functioning of the Indian money market.
- 3) What reform measures RBI has adopted to diversify and strengthen the various instruments of the money market?
- 4) Examine the role and importance of RBI in the functioning of the Indian money market.